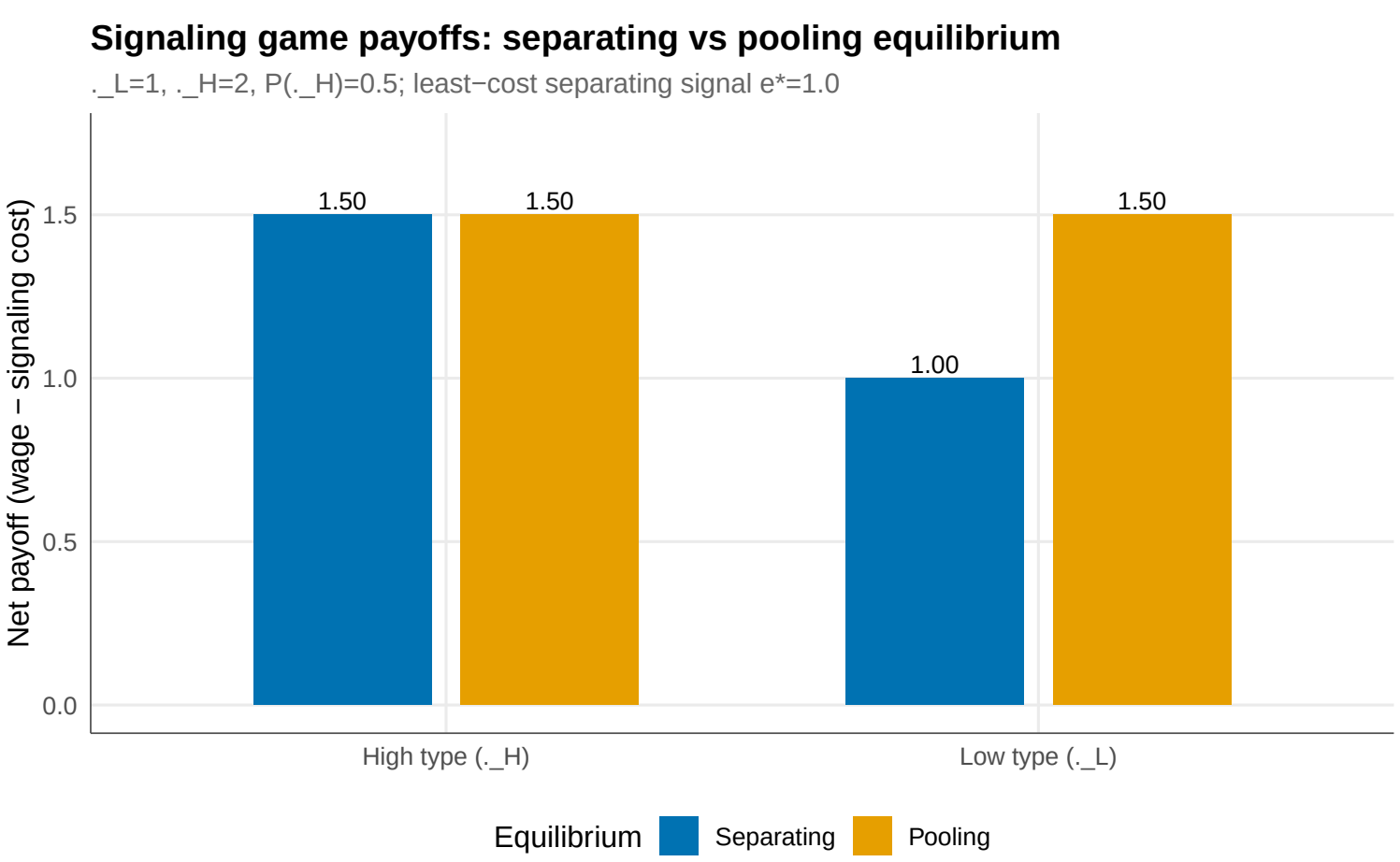
Signaling game payoffs: separating vs pooling equilibrium
._L=1, ._H=2, P(._H)=0.5; least−cost separating signal e*=1.0
Net payoff (wage − signaling cost)
0.0
0.5
1.0
1.5
1.50
1.50
1.00
1.50
High type (._H)
Low type (._L)
Equilibrium
Separating
Pooling